TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

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Big banks hold about $330 billion that earns savers no interest as rates rise

> The RBA has raised the cash rate four times this year, but the big four banks have passed on only small rises to savers, mostly on accounts with strict conditions.

WHAT HAPPENED

- After the September hike to **4.60%**, the big four lifted their top savings rates by only **0.20–0.25 percentage points** (Canstar), and only on a few products.
- Savers who miss the **monthly conditions** get a base rate held flat at **0.10%**. A 2023 **ACCC inquiry** found more than 70% of customers never meet the bonus conditions.
- Only **16%** of consumers switched savings accounts in three years, so **low switching** weakens competition between banks.
- The Australian Banking Association says banks paid depositors more than **$120 billion** in interest last financial year.

Key terms: monetary policy transmission, interest rate pass-through, competition policy, market power, savings channel

$332b
Big-four deposits earning no interest

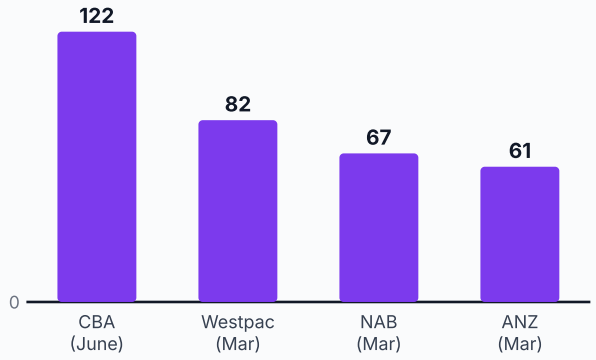
0.10%
Base savings rate (unchanged)

70%+
Customers who miss bonus conditions

4.60%
Cash rate after 4 hikes in 2026

BAR CHART

Deposits earning no interest, by bank ($ billion)



When the RBA raises the cash rate, it expects higher rates to **reward saving** and discourage spending (the **savings channel**).

If banks pass on only small rises, and mostly to customers who meet conditions, much of that incentive is lost. Banks' **interest margins** widen instead, and **transmission is weaker**.

Exam angle: this is where **microeconomic (competition) policy** supports macro policy: stronger competition, easier switching and ACCC scrutiny can make monetary policy work better. Figures from banks' latest annual reports.

FLOW CHART

The savings channel of monetary policy, and where it leaks

RBA raises the cash rate → Banks should lift deposit rates → Leak: small rises, strict conditions, 0.10% base → Weaker incentive to save → **Spending and inflation fall more slowly**

SYLLABUS LINK

Topic 4 – monetary policy: the transmission mechanism and limitations of monetary policy; competition policy and the role of the ACCC. **Topic 3** – distribution of income (returns to savers).

TRY THIS

1. Explain how weak competition in banking can reduce the effectiveness of cash rate rises in curbing spending. **(4 marks)**
2. Evaluate whether stronger competition policy in banking could improve both consumer outcomes and the transmission of monetary policy. **(6 marks)**

ABC News: abc.net.au/news/2026-11-01/rba-interest-hike-impact-on-high-interest-savings-accounts/107197290